VALUATUM

21.8.2026

Pandora A/S

PNDORA.CO • NASDAQ Copenhagen • Luxury Goods • Denmark

COMPANY PROFILE

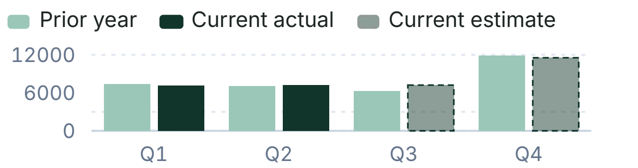
Pandora designs, manufactures and markets branded jewellery through approximately 2,800 concept stores, e-commerce and wholesale channels. Its Core division centres on charms, carriers and collaborations, while Fuel with more covers rings, earrings, necklaces, bracelets and lab-grown diamonds. Production is concentrated in Thailand, with additional capacity being established in Vietnam.

RECOMMENDATION	CURRENT PRICE	TARGET PRICE
HOLD	**829.20 DKK**	**829.20 DKK**
12-month horizon	as of report date	12-month fundamental

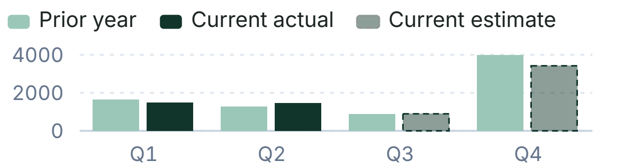
IMPLIED UPSIDE	MARKET CAP	ENTERPRISE VALUE
0.0%	**DKK 62 bn**	**DKK 76.3 bn**
vs. current price	shares × price	mcap + EV adjustments

P/E 2026E	EV/EBITDA 2026E	FCF YIELD 2026E	DIVIDEND YIELD 2026E	NET DEBT / EBITDA 2026E
12.9×	7.1×	8.8%	2.3%	1.3×

Quarterly net sales
DKK millions · prior year vs current year



Quarterly EBIT
DKK millions · prior year vs current year



RESEARCH SNAPSHOT

02

The call, the math, and the three reasons why

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION **HOLD** 12-month horizon	TARGET PRICE **829.20 DKK** 12-month fundamental	CURRENT PRICE **829.20 DKK** as of report date	IMPLIED UPSIDE **0.0%** vs. current price
MARKET CAP **DKK 62 bn** shares × price	ENTERPRISE VALUE **DKK 76.3 bn** mcap + EV adjustments	P/E · EV/EBITDA 2026E **12.9× · 7.1×** history + peers, see p. 18–19	FCF · DIV YIELD 2026E **8.8% · 2.3%**

01 Core still funds the franchise

Core generated DKK 18.9 billion of FY2025 gross profit and remains the source of roughly three quarters of modelled current EBIT. Its recurring charm-and-carrier purchasing loop supports unusually high gross margin, but value now depends on customer recruitment and repeat purchasing rather than store rollout alone.

`73.3% of FY2025 gross profit`

02 Fuel improves the mix

Fuel with more generated DKK 6.9 billion of gross profit on DKK 8.3 billion of revenue. Its reported Q1 2026 gross margin of 83.9% exceeded Core's 77.8%, so durable growth in rings, earrings, necklaces and accessible lab-grown diamonds can raise its share of value faster than its share of sales.

`83.9% Q1 2026 gross margin`

03 Valuation already recognises quality

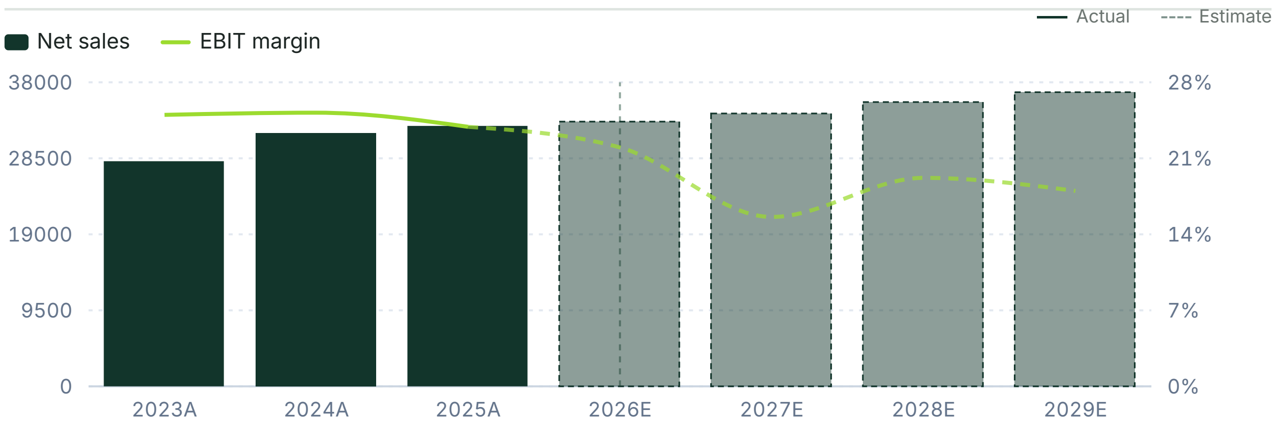
The implied 9.16x FY2027E EV/EBITDA multiple sits above the closest listed direct peer and below Pandora's normalised history. That leaves upside if Fuel scales without weakening Core, but little margin of safety against the forecast FY2027 earnings reset.

`9.16x blended FY2027E EV/EBITDA`

THESIS BREAKER Sustained Core contraction combined with Fuel growth below 3% would invalidate the premium multiple.

Net sales and EBIT margin

DKK millions; EBIT margin on right axis



SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

DKK per share, with 12-month target line

CURRENT PRICE **829.20 DKK** 21 August 2026	TARGET PRICE **829.20 DKK** 12-month	IMPLIED UPSIDE **0.0%** vs. current	52-WEEK HIGH **916.40 DKK** past 12m
52-WEEK LOW **430.00 DKK** past 12m	1-YEAR CHANGE **−12.9%** price only	3-YEAR CHANGE **+10.1%** price only	REPORT DATE **21 August 2026**

READING THE MOVE

the evidence supports pressure from 2025 organic growth missing initial guidance, weak North American like-for-like sales and concern over tariffs, metals and leverage. Q2 2026 brought better organic growth, upgraded guidance and a tariff refund, although the refund was one-off. The resulting price is close to the DKK 829.2 target and already discounts a meaningful recovery after the FY2027 earnings reset.

VALUE BREAKDOWN · PART 1

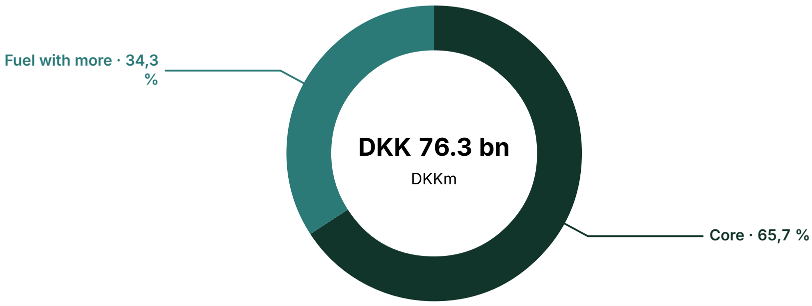
Enterprise-value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

DKK millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. “Reported” rows match a verified company-reported segment; “Modelled allocation” rows are model-side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model’s estimate of each division’s share of group EBIT. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	EBIT SHARE OF TOTAL (EST.)	BASIS
Core	50,150	65.7%	24,235	74.5%	18,867	73.3%	Reported
Fuel with more	26,171	34.3%	8,314	25.5%	6,880	26.7%	Reported
Total	76,321	100.0%	32,549	100.0%	25,747	100.0%	—

VALUE BREAKDOWN · PART 2

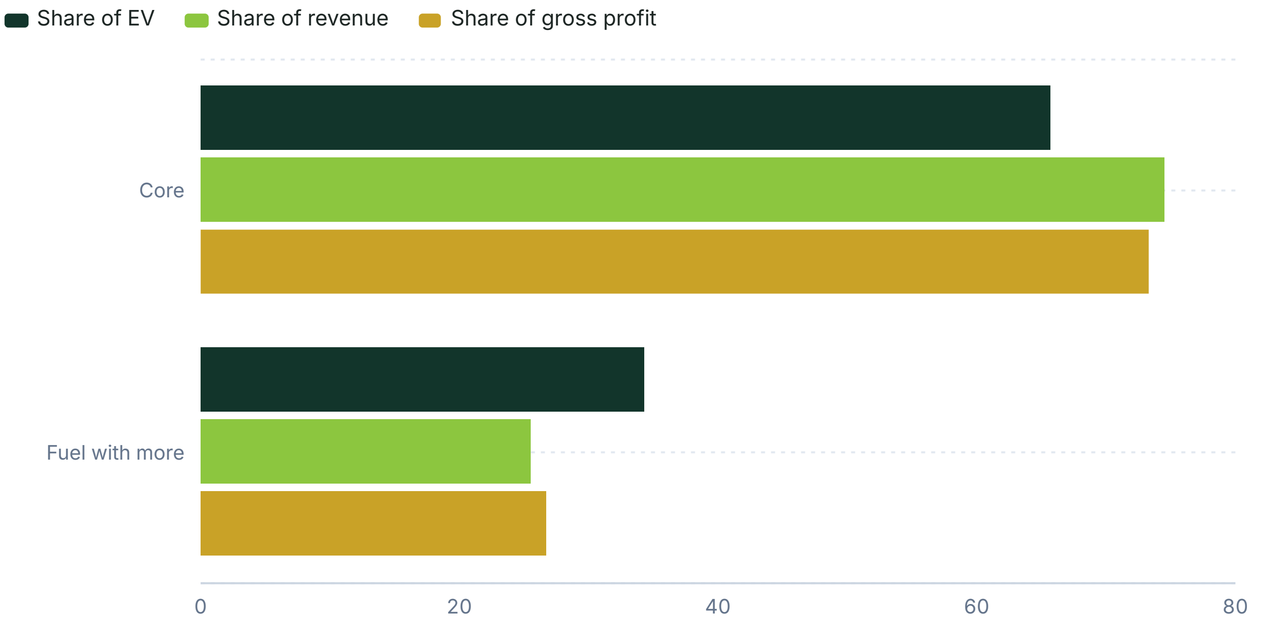
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Core accounts for 74.5% of revenue but 65.7% of allocated enterprise value because its maturity and repeat-purchase risk warrant a lower multiple. Fuel with more contributes 25.5% of revenue and 34.3% of enterprise value because it combines higher reported gross margin with faster category growth. The allocation is a valuation conclusion, not a company-reported EV split.

INVESTMENT CASE

The call and how the business creates value

06/07

Why the valuation and operating evidence point to the recommendation, and the map for the business division analysis that follows.

RECOMMENDATION CASE

HOLD. The 12-month target price is DKK 829.2, implying 0.0% upside from the current price of DKK 829.20.

The current price effectively requires FY2027E EBITDA of DKK 8.3 billion to deserve a blended 9.16x multiple. That is above Signet's 6.0x FY2027E EV/EBITDA but below Pandora's own normalised historical 10.01x average, a defensible position given Pandora's structurally superior gross margin and brand ownership. It also assumes the modelled FY2027 EBIT contraction is cyclical rather than evidence that the franchise has entered permanent decline.

Evidence is balanced rather than decisively bullish. Pandora reported Q2 2026 organic growth of 3%, including only 1% like-for-like growth and 2% network expansion, while management raised full-year organic-growth guidance to 0-3%. Fuel with more is growing faster, but Core was flat in Q4 2025, North America declined 1% like-for-like in Q2 2026, and the adjusted Q2 gross margin fell 110 basis points year on year once the tariff refund is removed.

The strongest argument against HOLD is that Pandora's return profile warrants a substantially higher valuation: its three-year forecast average ROE is 46.4%, and the cross-market ROE/P/BV curve indicates DKK 1,279.7 per share. That signal is useful but not sufficient because buybacks, a thin equity base and leverage amplify ROE, while the operating model forecasts EBIT margin falling from 22.0% in 2026 to 15.6% in 2027.

The call turns positive if Core returns to sustained positive like-for-like growth while Fuel remains above mid-single digits and adjusted gross margin stabilises near 79%; that combination would support more than DKK 9 billion of EBITDA and a double-digit multiple. It turns negative if Core stays flat or contracts, Fuel falls below 3% like-for-like growth, or tariffs and precious metals keep adjusted gross margin below 78%, because leverage would then constrain buybacks and compress both earnings and the valuation multiple.

ECONOMIC MAP

Enterprise value forms first in Core, where DKK 18.9 billion of FY2025 gross profit funds the brand, stores and product pipeline. The decisive number is not the addressable gift market but Core like-for-like growth: flat Q4 2025 performance means the DKK 50.1 billion valuation depends on stabilisation and repeat purchases rather than rapid expansion.

Fuel with more is smaller but receives a higher multiple because FY2025 gross margin was 82.8% and Q1 2026 gross margin reached 83.9%. The decisive number is sustainable category like-for-like growth after launches; the report weights Pandora's 6% Q2 figure over a conflicting 3% secondary report but models only mid-single-digit growth.

At group level, the critical bridge is whether DKK 8.3 billion of FY2027E EBITDA is a trough or a new normal. A blended 9.16x multiple values the company at the locked DKK 76.3 billion EV, placing the shares between Signet's lower multiple and Pandora's higher historical average.

ANALYTICAL ANCHOR

The investment case is Core stability plus Fuel mix improvement; either leg alone is insufficient to justify the current enterprise value.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Core

Business division deep dive — Profit engine.

THE PRIZE IS GIFTING AND SELF-EXPRESSION SPEND, NOT MERELY THE CHARM CATEGORY

Core competes for a much larger annual spending pool than the existing charm market: Fortune Business Insights estimated global gift retailing at USD 509.27bn in 2026, while published estimates place the global jewellery market between USD 397.7bn and USD 448bn. The two jewellery estimates conflict because market definitions vary, so the valuation does not infer revenue directly from either top-down number. Instead, the relevant conclusion is that Core's DKK 24.2 billion of FY2025 revenue is small relative to the spending it can displace when a charm serves as a birthday, holiday, travel-memory or self-gifting purchase. Self-gifting represented an estimated 35% of jewellery spending in 2026, up from 22% in 2020, broadening Core beyond traditional gift occasions. The valuation nevertheless uses Pandora's disclosed revenue and model forecasts rather than applying an unsupported global market share.

CAPTURING THE PRIZE REQUIRES RECURRING CUSTOMER BEHAVIOUR, NOT CATEGORY UBIQUITY

The next step is to translate the large spending pool into a realistic company requirement. Core does not need a large percentage of global gifting spend; it needs enough new bracelet and carrier customers to replace attrition and enough existing customers to add charms repeatedly. The economic loop is a relatively infrequent carrier purchase followed by multiple lower-ticket additions, collaborations and occasion-led purchases. An external loyalty estimate suggests 88% of consumers require at least three purchases to become loyal, which illustrates why recruitment without repeat transactions would generate sales but not the expected lifetime value. The report's base case therefore assumes Core revenue reaches approximately DKK 24.7 billion in FY2027E, only about 1.9% above FY2025, rather than extrapolating the much larger addressable market.

REPORTED ECONOMICS SHOW A HIGH-RETURN FRANCHISE WHOSE GROWTH HAS SLOWED

Core generated DKK 24.2 billion of external sales and DKK 18.9 billion of gross profit in FY2025, exactly 74.5% and 73.3% of group totals. The resulting gross margin was 77.9%, calculated as DKK 18.9 billion divided by DKK 24.2 billion. That margin demonstrates brand and design value far beyond commodity metal content, but Core like-for-like growth was flat in Q4 2025, signalling that mature-market saturation is a current operating issue rather than a remote risk. Group organic growth in 2025 was 6%, but only 2% was like-for-like and 4% came from network expansion. Store openings can extend distribution, yet they cannot indefinitely substitute for customer productivity in an estate already approaching 2,800 concept stores.

CORE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE	**DKK 24,235m**
FY2025A GROSS PROFIT	**DKK 18,867m**
FY2025 GROSS MARGIN	**77.9% = DKK18,867m / DKK24,235m**
MODELLED CURRENT EBIT SHARE	**73.3%; report estimate**
FY2027E MODELLED EBITDA	**DKK5,900m**
SELECTED EV/EBITDA	**8.5x FY2027E**
Q4 2025 LFL SIGNAL	**0%**
GROUP UNIT SCALE	**112m pieces sold in FY2025**
DERIVED GROUP REVENUE PER PIECE	**DKK291 = DKK32,549m / 112m**
CAPACITY GATE	**Vietnam adds 60m pieces annually**

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Core (continued)

Business division deep dive — Profit engine.

UNIT ECONOMICS ARE ATTRACTIVE, ALTHOUGH DISCLOSURE STOPS ABOVE THE PRODUCT LEVEL

Pandora sold 112m pieces in FY2025, and group revenue of DKK 32.5 billion implies this report's average revenue of approximately DKK 291 per piece. That is not a disclosed average selling price because revenue includes channel mix, returns and products across both divisions, but it provides a scale anchor. Group gross profit of DKK 25.7 billion implies approximately DKK 230 of gross profit per piece and approximately DKK 61 of cost of sales per piece, again as report estimates rather than product-level disclosures. Core's disclosed gross margin would imply around DKK 64 of cost for a DKK 291 Core-equivalent item if the group average price were representative. The actual charm, bracelet and collaboration mix is undisclosed, so the valuation rests on divisional gross profit and modelled EBITDA rather than a false precision around individual products.

THE EBIT ALLOCATION EXPOSES WHAT THE PRODUCT DISCLOSURE DOES AND DOES NOT PROVE

Pandora reports product-segment gross profit, not product-segment EBIT, so current EBIT shares must be modelled. FY2025 group gross profit was DKK 25.7 billion and EBIT was DKK 7.8 billion, leaving DKK 18 billion of expenses below gross profit. This report assigns Core marketing at 13.0% of Core revenue, or DKK 3.2 billion, and Fuel marketing at 16.5% of Fuel revenue, or DKK 1.4 billion; those amounts almost reconcile to reported group marketing of 13.9% of sales. The remaining DKK 13.4 billion is allocated by revenue share, producing about DKK 5.7 billion of Core EBIT and DKK 2.1 billion of Fuel EBIT. Core therefore contributes an estimated 73.3% of current EBIT, but that is explicitly an analytical allocation rather than a company-reported segment result.

GEOGRAPHIC EVIDENCE SAYS RECRUITMENT IS UNEVEN RATHER THAN UNIVERSALLY EXHAUSTED

Q2 2026 like-for-like growth diverged sharply by geography: Asia-Pacific grew 10% and Latin America 18%, while North America declined 1%. The United States is clearly Pandora's largest market, but published estimates conflict on its weight, at approximately 28% of FY2025 revenue according to ECDB and approximately 36% according to Morningstar. This report uses neither estimate to manufacture a divisional regional split because Core-only regional revenue is not disclosed. The range nevertheless shows why weak U.S. recruitment can outweigh faster growth in smaller geographies. A return to positive North American like-for-like growth is consequently more valuable than the same percentage growth in a less developed market.

NETWORK EXPANSION SUPPORTS REACH, BUT PRODUCTIVITY DETERMINES INCREMENTAL VALUE

Pandora had 2,796 concept stores at 31 March 2026, broadly consistent with approximately 2,800 stores by mid-year. Network expansion contributed two percentage points of Q2 2026 organic growth and four points of FY2025 growth, proving that physical distribution remains a live growth lever. Yet every new store carries occupancy, personnel and inventory costs, and sales and distribution expenses already represented 37.6% of revenue in the first nine months of 2025. The store base should therefore be judged on incremental gross profit after local operating costs, not on unit count alone. The base valuation assumes expansion maintains revenue rather than creating a structurally higher Core growth rate.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Core (continued)

Business division deep dive — Profit engine.

MANUFACTURING CAPACITY REMOVES ONE CONSTRAINT BUT CAN CREATE ANOTHER

The new Binh Duong facility is planned for annual capacity of 60m pieces and is expected to raise Pandora's total global crafting capacity by approximately 50%. Against 112m pieces sold in FY2025, the named capacity addition equals roughly 54% of annual unit sales, although production, sales and capacity are not directly interchangeable. This report cannot calculate utilisation because existing rated capacity and ramp timing are undisclosed. The strategic benefit is resilience and headroom if demand recovers; the risk is depreciation and fixed operating cost if Core volumes remain mature. Since fixed costs were externally estimated at only around 4% of cost of goods sold, underutilisation should initially affect operating expenses and returns on invested capital more than destroy the gross-margin structure.

METALS AND CURRENCIES ARE DELAYED MARGIN VARIABLES, NOT IMMEDIATE SPOT-PRICE PASS-THROUGHS

Pandora uses 100% recycled silver and gold in new jewellery production and generally seeks to hedge at least 70% of estimated commodity purchases for the next 12 months. At Q1 2026, approximately 58% of expected silver exposure and 70% of gold exposure were hedged, leaving silver coverage below the stated policy threshold. The production-to-cost-of-sales lag is typically five to ten months, so spot movements enter reported margin with delay and can be mistaken for current trading performance. Pandora estimates that a 10% increase in combined silver and gold prices would reduce EBIT by DKK 224m before hedging and lag effects. Core carries most of this risk because of its scale and historical association with silver jewellery.

PLATINUM PLATING IS BOTH A HEDGE AND A CUSTOMER PROPOSITION TEST

Pandora plans to move 80% of silver-linked revenue to platinum-plated jewellery by the end of 2028, while another report described an interim objective of at least half of silver jewellery by 2027. The strategy could stabilise input costs, protect product appearance and reduce direct sensitivity to volatile silver prices. It could also alter customer perception if buyers associate Pandora's Core proposition with sterling silver authenticity rather than surface finish. The valuation treats the transition as a margin defence, not a source of incremental revenue. Failure would appear first in return rates, customer reviews, discounting or lower repeat purchasing rather than in the metal cost line alone.

TARIFFS AMPLIFY THE IMPORTANCE OF PRICE ELASTICITY

Pandora previously estimated a DKK 450m 2026 impact from U.S. tariffs on its international supply chain and Thai production. Regulatory reporting is conflicted: National Jeweler described a new 12.5% U.S. Section 301 tariff on Thai imports from 24 July 2026, while another source said a February court ruling invalidated IEEPA reciprocal tariffs that had included a 19% duty. Q2 included a partial IEEPA refund, producing a 250-basis-point EBIT-margin benefit and a 230-basis-point gross-margin benefit. Excluding that refund, gross margin was 78.2%, down 110 basis points year on year. The base case excludes the refund from recurring economics and assumes Pandora absorbs or prices through part, but not all, of ongoing tariff and metal pressure.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Core (continued)

Business division deep dive — Profit engine.

COMPETITION IS FOR ATTENTION, GIFTING OCCASIONS AND RETAIL PRODUCTIVITY

- Pandora Core: DKK24.2 billion FY2025 revenue; 77.9% gross margin; Q4 2025 LFL 0%.
- Swarovski jewellery: parent revenue EUR1.97bn in 2025; jewellery organic growth 11% in H1 2026.
- Signet Jewelers: USD6.81bn FY2026 sales; 42.0% gross margin; average unit retail rose 6-7%.
- LVMH Watches & Jewelry: EUR10.49bn 2025 revenue, with materially higher luxury price points.
- Chow Tai Fook: HKD94.4bn FY2026 revenue and 20% operating margin, concentrated in Greater China.

THE MULTIPLE PRICES RESILIENCE BUT NOT A RETURN TO HISTORICAL PEAK GROWTH

This report models FY2027E Core EBITDA of DKK 5.9 billion on revenue of approximately DKK 24.7 billion, a 23.9% margin. Applying 8.5x produces DKK 50.1 billion of enterprise value, or 65.7% of the locked group EV. The multiple stands above Signet's 6.0x FY2027E EV/EBITDA because Pandora owns the brand and manufacturing economics, but below Pandora's normalised historical 10.01x group average because Core growth is mature and cost pressure is unresolved. A 1.0x change in the Core multiple moves enterprise value by DKK 5.9 billion, equivalent to approximately DKK 79 per share before interaction with the other division. The assumption underneath the value is that Core remains broadly stable rather than entering secular decline.

WHAT BREAKS THE CORE VALUE

The clearest break condition is two consecutive years of negative Core like-for-like sales accompanied by lower repeat purchasing rather than deliberate network pruning. A second break would be adjusted gross margin remaining below 78% despite hedging and platinum migration, indicating that pricing power no longer offsets tariffs and input costs. A third would be persistent North American contraction while store additions continue, because that would combine weak demand with higher fixed distribution expense. Under those conditions, Core EBITDA could fall toward DKK 4.7 billion and deserve only 7.0x, cutting divisional EV to DKK 32.9 billion. Conversely, renewed positive Core like-for-like growth and stable gross margin would support DKK 6.5 billion or more of EBITDA and a 9.5-10.0x multiple.

CORE COMPETITIVE CONTEXT: SCALE, GROWTH AND ECONOMIC MODEL

OPERATOR	SCALE / GROWTH	MARGIN	BUSINESS-MODEL READ
Pandora Core	DKK24.2bn sales (FY2025)	77.9% gross margin	Owned brand and production
Swarovski	EUR1.97bn parent sales (2025)	Jewellery +11% H1 2026	Crystal-led pop luxury
Signet Jewelers	USD6.81bn sales (FY2026)	42.0% gross margin	Multi-banner retailer
LVMH W&J	EUR10.49bn sales (2025)	Not provided	Luxury houses and high AUR
Chow Tai Fook	HKD94.4bn sales (FY2026)	20% operating margin	China-led fine jewellery

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Fuel with more

Business division deep dive — Profit engine.

THE PRIZE IS BROAD JEWELLERY EXPENDITURE, NOT THE DEMI-FINE LABEL

Fuel with more competes for spending across rings, earrings, necklaces, bracelets and diamonds, so its displaced annual spend is the global jewellery market rather than a narrowly labelled demi-fine category. Grand View Research estimated that market at USD 397.7bn in 2026, Custom Market Insights at USD 403bn, Vyansa at USD 448bn and Fortune Business Insights at USD 254.13bn. These estimates conflict materially because they include different product, material and channel definitions; the valuation uses none of them as a direct revenue forecast. The labelled demi-fine market is much smaller and itself disputed at USD 2.8bn to USD 12.73bn in 2025. Fuel's opportunity is broader because a Pandora ring can displace fashion jewellery, fine jewellery, accessories or a gift purchase rather than only products carrying the demi-fine label.

THE REQUIRED CAPTURE IS MODEST GLOBALLY BUT DEMANDING WITHIN PANDORA'S PRICE ARCHITECTURE

Fuel generated DKK 8.3 billion in FY2025, so it does not need to dominate the global market to become material. An external estimate places Pandora's accessible-luxury jewellery share at 4.5% in 2026, but that estimate is not a disclosed company figure and does not isolate Fuel categories. This report therefore builds from Pandora's own sales: reaching DKK 9.4 billion in FY2027E requires 13.1% cumulative growth from FY2025, or roughly 6.4% annually. That is credible if like-for-like category growth remains mid-single-digit and the network contributes additional distribution. It becomes difficult if Fuel growth converges to Core before launch marketing and new-store costs mature.

PRODUCT MIX GIVES FUEL HIGHER GROSS PROFIT PER SALES KRONE

Fuel with more generated DKK 6.9 billion of gross profit on DKK 8.3 billion of external sales in FY2025, exactly 26.7% and 25.5% of group totals. The implied FY2025 gross margin was 82.8%, 4.9 percentage points above Core's 77.9%. In Q1 2026 the disclosed gap persisted, with Fuel at 83.9% and Core at 77.8%. This is the central reason Fuel receives a higher valuation multiple: growth adds revenue in categories that currently carry better gross economics. The premium is not guaranteed to survive if growth depends on heavy marketing, service-intensive diamonds or lower accessible price points.

FUEL WITH MORE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE	DKK 8,314m
FY2025A GROSS PROFIT	DKK 6,880m
FY2025 GROSS MARGIN	82.8% = DKK6,880m / DKK8,314m
Q1 2026 GROSS MARGIN	83.9%
Q2 2026 LFL EVIDENCE	6% primary source; 3% secondary
FY2027E MODELLED REVENUE	DKK9,403m
FY2027E MODELLED EBITDA	DKK2,433m
SELECTED EV/EBITDA	10.76x FY2027E
ACCESSIBLE-LUXURY SHARE ESTIMATE	4.5% global
LGD ACCESSIBLE PRICE FOCUS	USD250-500

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Fuel with more (continued)

Business division deep dive — Profit engine.

THE CURRENT GROWTH SIGNAL IS POSITIVE, BUT THE REPORTED NUMBER IS DISPUTED

Pandora's primary Q2 2026 communication reported 6% like-for-like growth for Fuel with more, while GuruFocus reported 3% for the same period. This report weights the 6% figure because it comes from Pandora's own Q2 release and is corroborated by another primary-distribution document. The lower secondary figure remains important because it may reflect a different category perimeter, adjusted presentation or transcription from the earnings call. The valuation does not extrapolate 6% indefinitely; it models approximately 6.4% annual revenue growth through FY2027. If the correct recurring rate is closer to 3%, the division would not earn the selected premium without better margins or stronger network contribution.

RINGS CREATE A LARGE ROUTE TO SCALE, BUT PANDORA MUST WIN OUTSIDE ITS CHARM IDENTITY

Rings accounted for an estimated 33.9% of global jewellery revenue in 2025, making them the largest product category and a logical destination for Pandora's design and retail reach. Necklaces also benefit from layering trends, with one estimate projecting a USD 75.85bn market by 2032 at a 5.45% CAGR. These market figures establish demand pools, not Pandora's attainable share. Winning requires designs that consumers seek independently of the charm ecosystem, because cross-selling to existing bracelet owners alone would cap penetration and increase cannibalisation. The decisive evidence will be sustained category like-for-like growth after launch periods and marketing normalisation.

LAB-GROWN DIAMONDS EXPAND THE ADDRESSABLE TICKET RANGE BUT ADD PRICE-DEFLATION RISK

Published estimates place the global lab-grown diamond market at USD 29.46bn in 2025 and USD 33.54bn in 2026, while lab-grown products reached 61% of U.S. engagement rings in 2025 according to The Knot data reported by National Jeweler. Pandora is not primarily pursuing the traditional high-ticket bridal transaction; it shifted its assortment toward accessible USD 250-500 price points after weaker interest in more expensive products. This lowers the customer-acquisition hurdle and fits Pandora's self-gifting proposition. It also means growth can be partly price-deflation-led, with revenue lagging unit adoption. The base valuation treats diamonds as a contribution to Fuel growth and brand reach, not as a standalone option valued on the entire lab-grown market.

GEOGRAPHIC ROLLOUT IS TESTING WHETHER THE PROPOSITION TRAVELS

Pandora expanded lab-grown diamonds to Spain and Italy in June 2026, including flagship openings in Barcelona and Milan. The expansion provides a useful test of whether accessible diamonds can work outside the U.S. and selected early markets. Carbon-footprint disclosure labels introduced in May 2026 may support transparency and differentiate the proposition, particularly as all new Pandora jewellery has used 100% recycled silver and gold since August 2024. Neither initiative establishes demand by itself. The key test is repeatable store productivity after opening marketing subsides, including attachment sales from other Fuel categories.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Fuel with more (continued)

Business division deep dive — Profit engine.

MARKETING ALLOCATION IS THE LARGEST UNCERTAINTY BELOW GROSS PROFIT

Pandora disclosed FY2025 group marketing expense at 13.9% of revenue but did not provide collection-level spending. This report assumes Fuel marketing at 16.5% of Fuel revenue, or DKK 1.4 billion, because Essence, Signature and lab-grown diamonds require launch support and consumer education. It assigns Core marketing at 13.0%, leaving total modelled marketing within DKK 2m of the reported group amount after rounding. Remaining operating costs are allocated by revenue, producing modelled Fuel EBIT of about DKK 2.1 billion. If actual Fuel marketing is materially higher or if sales and distribution costs require the suggested 1.2x weighting, current divisional EBIT would be lower than this base allocation despite the superior gross margin.

SERVICE INTENSITY CAN CONSUME THE APPARENT GROSS-MARGIN ADVANTAGE

Rings require size availability, necklaces and earrings increase assortment breadth, and diamonds may require more assisted selling, explanation and aftercare than a standard charm transaction. Those needs raise inventory complexity and potentially store labour even where product gross margin is high. Pandora's group inventory increased to DKK 4.9 billion in FY2025 from DKK 4.4 billion in FY2024, while receivables rose to DKK 4 billion. The increase cannot be assigned to Fuel from disclosed data, but it highlights that gross profit is not cash profit. The premium multiple depends on inventory turns and operating expense improving as launches scale.

THE GROUP UNIT BASE IMPLIES VOLUME REQUIREMENTS THAT ARE ACHIEVABLE BUT NOT DIRECTLY OBSERVABLE

Group sales of 112m pieces and revenue of DKK 32.5 billion imply approximately DKK 291 per piece. If Fuel's average realised revenue were DKK 350-500 per piece, an assumption reflecting its broader rings, necklaces and diamond mix, FY2025 revenue would correspond to roughly 16.6m-23.8m pieces. FY2027E revenue of DKK 9.4 billion would require about 18.8m-26.9m pieces at the same price range. This report's midpoint assumption of DKK 425 implies volume rising from 19.6m to 22.1m pieces, or 2.5m incremental units. The range is analytical because Pandora does not disclose division-level units or average selling prices.

CAPACITY IS AMPLE IF THE VIETNAM RAMP WORKS, BUT UTILISATION REMAINS UNKNOWABLE

The planned 60m-piece Vietnam facility represents more than twice the midpoint Fuel volume estimated for FY2027E and approximately 54% of total FY2025 group units. Capacity therefore should not constrain Fuel's medium-term success once the plant is operational. The relevant risk is the opposite: excess capacity combined with weak demand could dilute returns on invested capital and increase depreciation. Pandora's model already forecasts gross capital expenditure of DKK 3.5 billion in 2026 and DKK 3.4 billion in 2027. Since utilisation by plant and division is undisclosed, the base valuation assumes capacity supports growth without assigning speculative utilisation savings.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Fuel with more (continued)

Business division deep dive — Profit engine.

COMPETITIVE BENCHMARKS SHOW PANDORA'S MARGIN ADVANTAGE AND SHARE CHALLENGE

- Pandora Fuel with more: DKK8.3 billion FY2025 sales; 82.8% gross margin; Q2 2026 LFL reported at 6% by Pandora.
- Signet Jewelers: USD6.81bn FY2026 sales; 42.0% gross margin; estimated 5% of the overlapping U.S. fashion-jewellery market.
- Swarovski: EUR1.97bn 2025 parent revenue; jewellery organic growth of 11% in H1 2026.
- LVMH Watches & Jewelry: EUR10.49bn 2025 revenue across global luxury houses.
- Chow Tai Fook: HKD94.4bn FY2026 revenue and 20% operating margin, with design-led iconic collections.

THE COMPETITIVE FIELD IS FRAGMENTED BUT NOT EMPTY

The top five companies were estimated to control only about 20% of the USD 448bn global jewellery market, leaving substantial fragmented share. Yet the relevant competitors differ by occasion and price: Signet is strong in North American bridal and banners, Swarovski in crystal-led fashion jewellery, LVMH and Richemont in luxury, and Chow Tai Fook in Greater China. Estimates place Signet at 6-7% of the total global jewellery market and Richemont at 9%, but those third-party figures use broad definitions and should not be compared mechanically with Fuel revenue. Pandora's advantage is global brand reach and controlled production; its disadvantage is that consumer awareness remains anchored in charms. Fuel succeeds only if the master brand becomes credible across categories without losing accessibility.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Fuel with more (continued)

Business division deep dive — Profit engine.

THE SELECTED MULTIPLE PRICES GROWTH, GROSS MARGIN AND EXECUTION TOGETHER

This report models FY2027E Fuel revenue of DKK 9.4 billion and EBITDA of DKK 2.4 billion, implying a 25.9% EBITDA margin. Applying 10.7563x produces DKK 26.2 billion of enterprise value, or 34.3% of the locked group EV. The multiple is above Core's 8.5x because Fuel is growing faster and has a higher disclosed gross margin, while remaining close to Pandora's historical group valuation range. A 1.0x change in the Fuel multiple moves group EV by DKK 2.4 billion, equivalent to approximately DKK 33 per share. The value rests on Fuel sustaining mid-single-digit growth after launch effects while converting superior gross margin into cash EBITDA.

WHAT BREAKS THE FUEL VALUE

The first break condition is like-for-like growth below 3% for several quarters once category and geographic launches anniversary, because that would suggest rollout-led rather than durable demand. The second is gross margin falling toward Core's level while marketing remains above 16% of divisional revenue, which would eliminate the reason for a premium multiple. The third is lab-grown diamond growth requiring successively lower prices without sufficient unit elasticity, creating volume headlines but weak revenue and cash contribution. In a bear case, DKK 1.7 billion of EBITDA at 7.5x would value Fuel at DKK 12.8 billion. In a bull case, DKK 3.1 billion at 11.5x would produce DKK 35.6 billion, but that requires sustained category share gains and demonstrable operating leverage.

FUEL WITH MORE: COMPETITIVE GROWTH, MARGINS AND CATEGORY POSITION

OPERATOR	GROWTH / SHARE SIGNAL	MARGIN	CATEGORY POSITION
Pandora Fuel	6% Q2 2026 LFL, primary	83.9% gross Q1 2026	Accessible multi-category
Signet Jewelers	AUR +6-7% FY2026	42.0% gross FY2026	Bridal and fashion retail
Swarovski	Jewellery +11% H1 2026	Not provided	Crystal and pop luxury
LVMH W&J	EUR10.49bn sales (2025)	Not provided	Global luxury jewellery
Chow Tai Fook	HKD94.4bn sales (FY2026)	20% operating margin	Greater China leader

CORE ANALYSIS · CROSS-DIVISION BRIDGE

09 Putting the divisions back together

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Core supplies most gross profit, store traffic and marketing reach, allowing Fuel collections to use an existing customer base and global network. Fuel in turn broadens purchase occasions and can raise gross profit per sales krone.

The interaction is not costless. Fuel requires launch marketing, assortment breadth and assisted selling, while stores and production assets are shared and cannot be cleanly allocated from public disclosure. The report therefore models operating costs rather than treating gross-margin differences as pure incremental profit.

Cannibalisation is acceptable if a Fuel purchase displaces a lower-margin Core item while increasing customer lifetime value. It is destructive if existing charm customers merely redirect a fixed wallet without bringing new customers or higher purchase frequency.

BRIDGE MECHANICS

FY2027E group EBITDA is allocated as DKK 5.9 billion to Core and DKK 2.4 billion to Fuel. Multiplication by 8.5x and 10.7563x respectively reconciles exactly to the locked DKK 76.3 billion enterprise value.

The current price equals DKK 62 billion of equity and DKK 76.3 billion of enterprise value. Against FY2027E EBITDA of DKK 8.3 billion, the market pays 9.16x for a year in which EBIT margin is forecast to fall to 15.6%.

Pandora's 9.16x blended multiple is above Signet's 6.0x FY2027E EV/EBITDA. The premium is supported by owned-brand economics and a 2026 EBIT margin far above the peer median, but peer evidence is thin because two resolved comparables failed valuation-multiple quality checks.

Own history gives the opposite message: the current 7.14x FY2026E EV/EBITDA is below the normalised 10.01x historical average. That apparent cheapness partly reflects unusually high FY2026 EBITDA and a modelled 22.0% EBIT margin before the FY2027 reset.

The reverse DCF reaches DKK 829 per share with 3% terminal growth and a terminal EBIT margin of 12.3%. The market therefore does not require current margins forever, but it does require long-lived revenue and cash generation with no structural collapse in Core.

CORE ANALYSIS · SCENARIOS & VERDICT

10 Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear: revenue falls to DKK 32 billion and EBITDA to DKK 7.2 billion, a 22.5% margin. Core contracts, Fuel slows below 3%, adjusted gross margin remains under pressure, and leverage stays near the upper end of the target range; the appropriate group multiple falls to 7.0x.

Base: revenue reaches DKK 34.1 billion and EBITDA DKK 8.3 billion, matching the FY2027 model. Core is broadly stable, Fuel grows mid-single digits, and the blended SOTP multiple is 9.16x. Cash generation allows net debt to decline toward the modelled DKK 12.7 billion during 2027.

Bull: revenue reaches DKK 37 billion and EBITDA DKK 10.4 billion, a 28.0% margin. Core returns to positive like-for-like growth, Fuel maintains high-single-digit growth, and tariff and commodity pressure normalises. Stronger cash flow accelerates deleveraging toward or below DKK 9.7 billion, supporting a 10.0x multiple.

BOTTOM LINE

Pandora is a high-quality but no longer uncomplicated compounder. Core remains valuable because of its gross profit and repeat-purchase architecture, while Fuel creates a credible route to mix improvement. At DKK 829.2, the market already pays for both Core stability and successful Fuel scaling; the evidence supports those assumptions, but not with enough margin of safety for a BUY.

FINANCIAL BRIDGE · PART 1

Net sales, EBITDA / EBIT, EBIT margin

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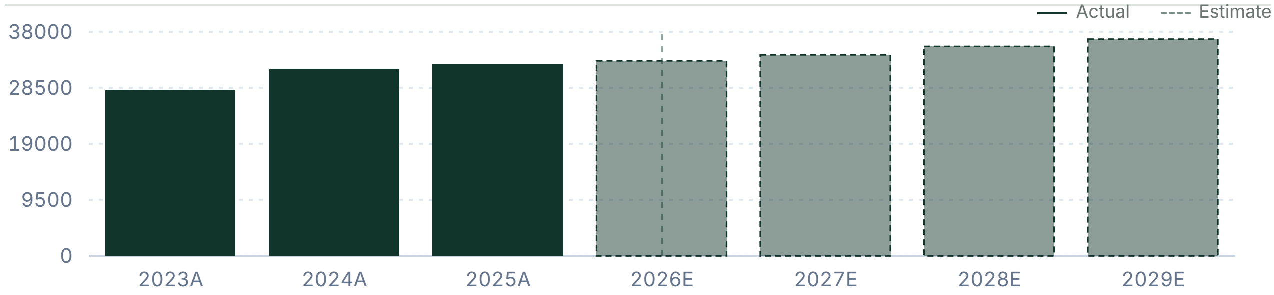
Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

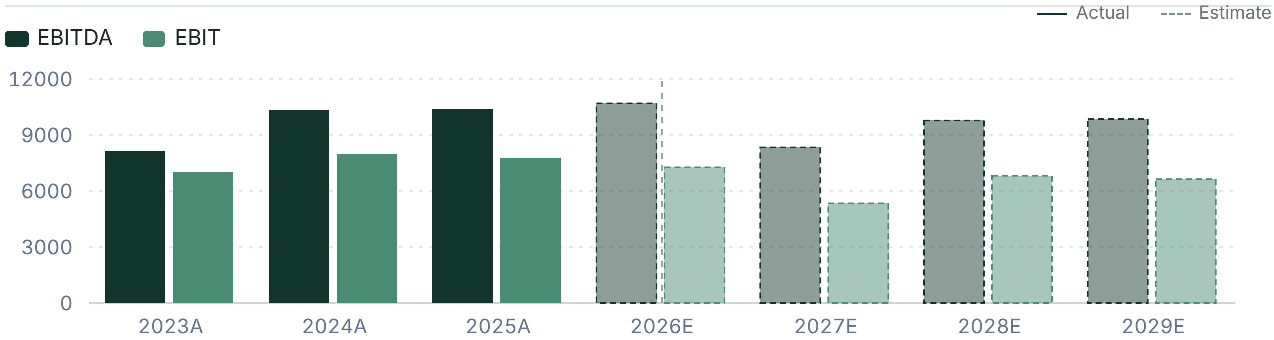
Net sales

DKK millions



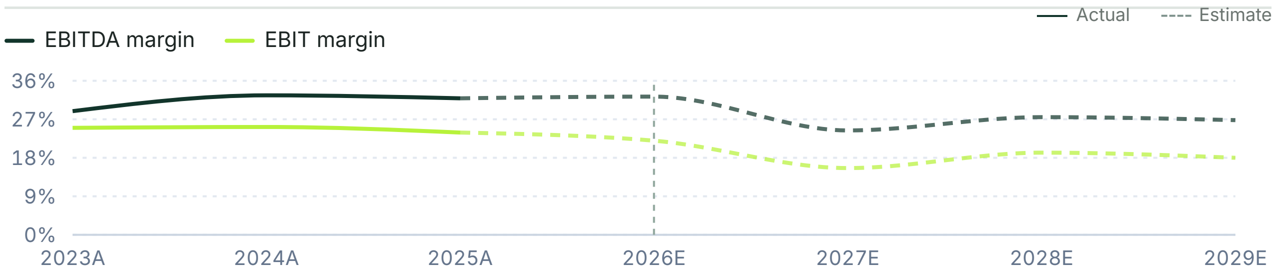
EBITDA & EBIT

DKK millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

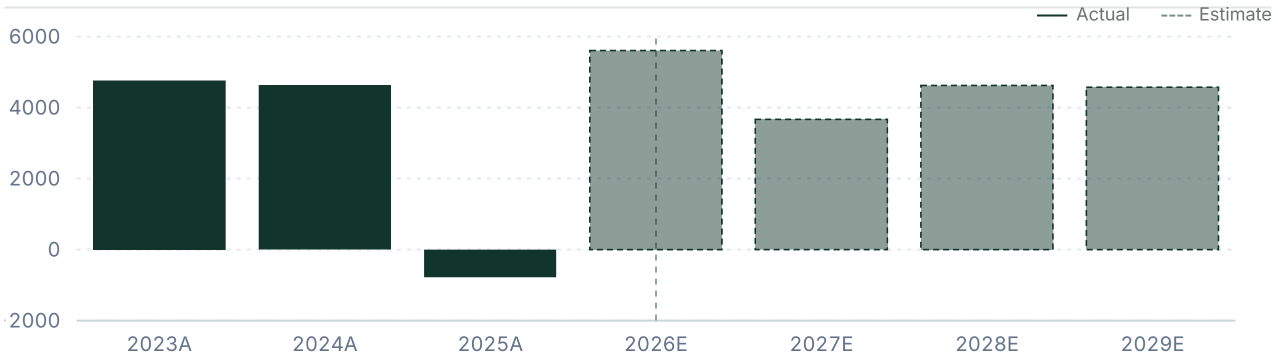
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

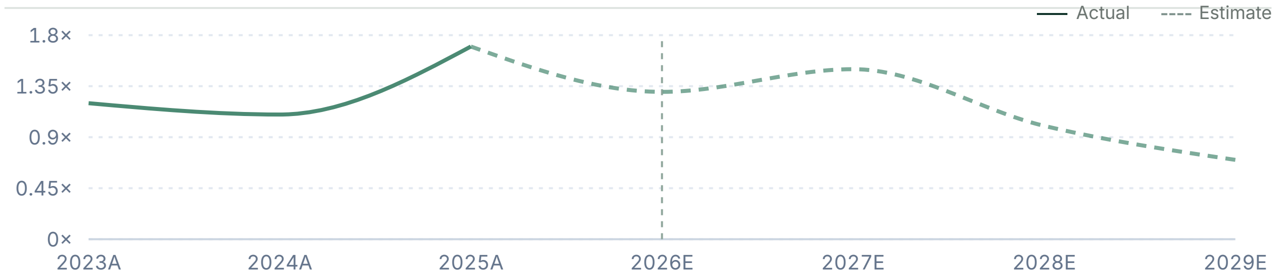
Free cash flow

DKK millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025 *A*	2026 *E*	2027 *E*	2028 *E*	2029 *E*
Net Sales	32,549	*33,086*	*34,103*	*35,530*	*36,763*
EBITDA	10,369	*10,692*	*8,333*	*9,774*	*9,850*
Comparable EBIT	7,783	*7,267*	*5,337*	*6,812*	*6,633*
Net Earnings	**5,242**	***4,929***	***3,517***	***4,580***	***4,738***
EPS (DKK)	68.1	*64.1*	*45.7*	*59.5*	*61.6*
DPS (DKK)	20	*18.9*	*13.5*	*17.6*	*18.2*

E = Valuatum estimate (not yet actualised)

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is primary because Core and Fuel have different growth, gross-margin and reinvestment profiles despite sharing stores and production. FY2027E EBITDA is allocated DKK 5.9 billion to Core at 8.5x and DKK 2.4 billion to Fuel at 10.7563x, reconciling to DKK 76.3 billion EV.

The multiples bracket Signet's 6.0x FY2027E and Pandora's 10.01x normalised history. Fuel earns the premium for faster growth and higher gross margin; Core is discounted for maturity. Sensitivity shows that EBITDA and multiple compression can reinforce one another.

What the market is pricing.

The current DKK 76.3 billion EV equals 9.16x FY2027E group EBITDA. Valuing Core at DKK 50.1 billion leaves DKK 26.2 billion for Fuel, which requires 10.7563x this report's DKK 2.4 billion Fuel EBITDA. The price therefore assumes Fuel retains a material growth and margin premium while Core remains stable enough to support 8.5x.

The market assumes The Q2 tariff refund represents recurring margin economics. We assign a different reading: The base strips out the one-off benefit; underlying Q2 gross margin was 78.2%, so no extra valuation is assigned to the reported 80.5%. (Investing.com, 12 August 2026)

The market assumes Fuel's Q2 like-for-like growth was only 3%. We assign a different reading: The primary company release reported 6%, supporting a premium multiple, although the model uses mid-single-digit growth rather than extrapolating the full rate. (Pandora A/S, 13 August 2026; GuruFocus, 17 August 2026)

The market assumes High forecast ROE alone warrants the curve-implied DKK1,279.7 price. We assign a different reading: Leverage and a small equity base amplify ROE, so the scatter is an upside cross-check rather than the target-setting method. (Valuatum deterministic ROE/P/BV scatter facts)

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020A	2021A	2022A	2023A	2024A	2025A	2026E	NORM. AVG. 2020-2025 (OUTLIERS DROPPED)
P/E	34.10x	19.36x	9.00x	16.82x	20.31x	10.39x	*12.95x*	18.33x
P/E adj.	34x	19x	9x	17x	20x	10x	*13x*	18x
EV/EBITDA	13.85x	10.87x	5.97x	11.02x	11.34x	6.98x	*7.14x*	10.01x
EV/EBIT	25.80x	14.44x	7.72x	12.71x	14.69x	9.30x	*10.50x*	14.11x
EV/Sales	3.64x	3.60x	1.97x	3.18x	3.70x	2.22x	*2.31x*	3.05x
P/FCF	11.45x	18.80x	22.63x	16.72x	22.94x	-69.96x	*11.38x*	18.51x
P/BV	8.94x	11.50x	6.32x	14.88x	19.27x	10.31x	*6.87x*	11.87x
P/S	3.48x	3.44x	1.71x	2.83x	3.35x	1.67x	*1.93x*	2.75x
Dividend yield	1.3%	1.8%	3.3%	1.7%	1.4%	2.8%	*2.3%*	2.1%

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2027E EV/EBITDA	2026E EBIT MARGIN
Pandora	*7.14x*	*9.16x implied*	*22.0%*
Signet Jewelers	*6.2x*	*6.0x*	*7.7%*
Brilliant Earth	*n/a*	*n/a*	*3.0%*
Watches of Switzerland	*n/a*	*n/a*	*n/a*
Peer median	*6.2x*	*6.0x*	*5.3%*

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Core	FY2027E Modelled EBITDA	5,900	8.5x	670.4 DKK	
· Fuel with more	FY2027E Modelled EBITDA	2,433	10.8x	349.9 DKK	
Sum of the parts	FY2027E Core EV plus Fu...	n/a	n/a	829.2 DKK	100%
Weighted target price				829.2 DKK	100%

VALUATION MAP

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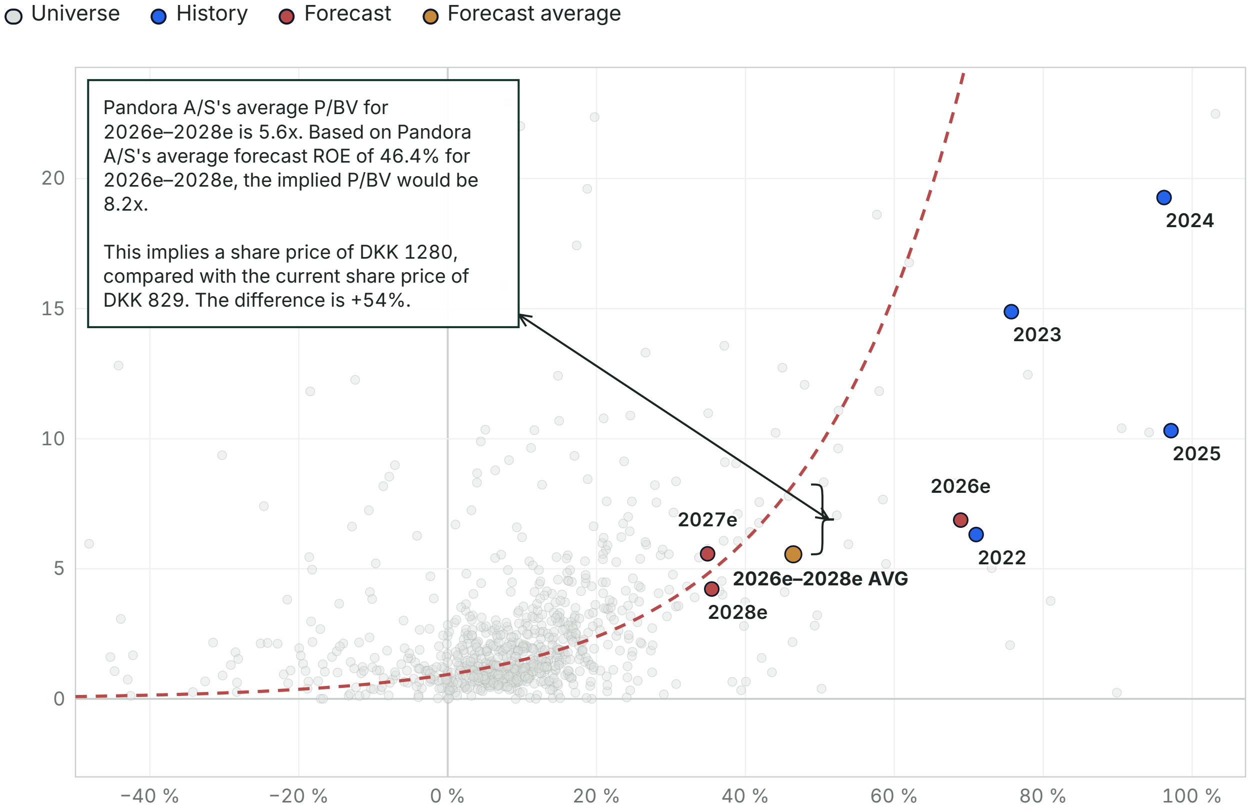
ROE vs P/BV — pricing versus profitability

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Pandora A/S in the Wisdom universe (4 632 companies)



Pandora's 46.4% average forecast ROE and 5.6x average forecast P/BV compare with a universe curve-implied 8.2x P/BV and DKK 1,279.7 per share, 54% above the current price. The signal supports franchise quality, but leverage, buybacks and a small accounting equity base magnify ROE; it should therefore be treated as an upside cross-check rather than the primary valuation.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES

	2026 *E*
P/E	*12.9×*
EV/EBITDA	*7.1×*
EV/EBIT	*10.5×*
P / Valuatum FOCF	*11.4×*
P/BV	*6.9×*
Dividend Yield	*2.3%*
Net Debt / EBITDA	*1.3×*

E = Valuatum estimate (not yet actualised)

EBITDA × EV/EBITDA sensitivity

FY2027E EBITDA (DKKM) EV/EBITDA →	7.5×	8.3×	9.2×	10.0×	10.8×
−20% **DKK 8,554m**	DKK 64,155m DKK 666.60 / sh	DKK 70,571m DKK 752.30 / sh	DKK 78,355m DKK 856.40 / sh	DKK 85,540m DKK 952.40 / sh	DKK 91,956m DKK 1,038.20 / sh
−10% **DKK 9,623m**	DKK 72,173m DKK 773.70 / sh	DKK 79,390m DKK 870.20 / sh	DKK 88,147m DKK 987.30 / sh	DKK 96,230m DKK 1,095.40 / sh	DKK 103,447m DKK 1,191.80 / sh
Base **DKK 10,692m**	DKK 80,190m DKK 880.90 / sh	DKK 88,209m DKK 988.10 / sh	DKK 97,939m DKK 1,118.20 / sh	DKK 106,920m DKK 1,238.30 / sh	DKK 114,939m DKK 1,345.50 / sh
+10% **DKK 11,761m**	DKK 88,208m DKK 988.10 / sh	DKK 97,028m DKK 1,106.00 / sh	DKK 107,731m DKK 1,249.10 / sh	DKK 117,610m DKK 1,381.20 / sh	DKK 126,431m DKK 1,499.10 / sh
+20% **DKK 12,830m**	DKK 96,225m DKK 1,095.30 / sh	DKK 105,848m DKK 1,223.90 / sh	DKK 117,523m DKK 1,380.00 / sh	DKK 128,300m DKK 1,524.10 / sh	DKK 137,923m DKK 1,652.70 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	32,000	7,200	22.5%	7.0×	50,400	36,104	DKK 482.66	−41.8%
Base	34,103	8,333	24.4%	9.2×	76,330	62,034	DKK 829.32	0.0%
Bull	37,000	10,360	28.0%	10.0×	103,600	89,304	DKK 1193.89	+44.0%

KEY CONDITIONS

The bear case combines negative Core like-for-like sales, Fuel growth below 3% and adjusted gross margin below 78%. The base requires Core stability and mid-single-digit Fuel growth. The bull requires positive Core recruitment, high-single-digit Fuel growth and enough cash conversion to reduce net debt materially rather than restarting aggressive buybacks immediately. These scenarios are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of DKK 829.2 sits between Bear and Base (Bear DKK 482.7, Base DKK 829.3, Bull DKK 1,193.9); its method weights are shown in the Target Price Bridge.

THESIS BREAKER

Core contraction plus loss of Fuel's gross-margin premium would make the base SOTP untenable.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER

	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Core returns to positive like-for-like growth	NEAR-TERM	Core	Two consecutive positive LFL quarters	Supports 8.5x or higher Core multiple
Fuel sustains primary-source Q2 growth rate	NEAR-TERM	Fuel with more	LFL remains at or above 6%	Validates premium divisional multiple
Adjusted gross margin stabilises	NEAR-TERM	Core	Underlying gross margin near 79%	Reduces downside to FY2027 EBITDA
Italy and Spain diamond rollout gains traction	MEDIUM-TERM	Fuel with more	Positive store productivity after launches	Expands credible LGD growth runway
Vietnam facility ramps without excess inventory	MEDIUM-TERM	Core	Capacity growth with stable inventory turns	Supports returns and supply resilience
Platinum-plated transition reaches interim target	MEDIUM-TERM	Core	At least 50% of silver jewellery by 2027	Reduces metal-cost sensitivity
Net debt falls below one turn of EBITDA	LONG-TERM	Fuel with more	NIBD/EBITDA below 1.0x	Restores capital-return flexibility

READ-THROUGH

Fuel's catalyst path is longer: sustained category growth, evidence from the Spain and Italy diamond rollout, and conversion of high gross margin into EBITDA. Vietnam capacity and platinum plating can improve resilience, but neither creates value without sell-through and disciplined working capital.

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Core customer recruitment and repeat purchases weaken	Core	Fewer carriers and charm additions reduce store productivity	Negative Core LFL for two consecutive quarters	HIGH	STRUCTURAL
Fuel growth proves rollout-led	Fuel with more	Launch marketing and stores fail to create repeat demand	Fuel LFL falls below 3%	HIGH	THESIS BREAKER
Tariffs remain above planning assumptions	Fuel with more	Thai imports incur duties that pricing cannot fully offset	Underlying gross margin below 78%	HIGH	MANAGEABLE
Silver hedging and platinum transition disappoint	Core	Input inflation reaches cost of sales after the hedge lag	Silver hedge coverage remains below policy	MEDIUM	MANAGEABLE
Lab-grown diamond price deflation outruns volume	Fuel with more	Lower tickets dilute revenue and marketing returns	Units rise while category revenue stalls	MEDIUM	STRUCTURAL
Vietnam capacity ramps ahead of demand	Fuel with more	Depreciation and working capital dilute capital returns	Inventory grows faster than revenue	MEDIUM	MANAGEABLE
Leverage constrains shareholder distributions	Fuel with more	Weak cash flow keeps NIBD/EBITDA near 1.5x	Buybacks remain suspended	MEDIUM	THESIS BREAKER

READ-THROUGH

Several risks are manageable individually because Pandora has pricing, hedging, plating and supply-chain levers. They become structural when combined: negative Core growth, sub-3% Fuel growth and an underlying gross margin below 78% would indicate both divisions are missing their economic requirements while the balance sheet has less capacity to absorb the reset.

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APPENDIX

Income statement

INCOME STATEMENT — DKK MILLIONS

	2023 *A*	2024 *A*	2025 *A*	2026 *E*	2027 *E*	2028 *E*
Net Sales	**28,136**	**31,680**	**32,549**	*33,086*	*34,103*	*35,530*
EBITDA	**8,119**	**10,330**	**10,369**	*10,692*	*8,333*	*9,774*
EBITDA margin	28.9%	32.6%	31.9%	*32.3%*	*24.4%*	*27.5%*
Depreciation	-1,080	-2,354	-2,586	*-3,425*	*-2,996*	*-2,962*
Operating Profit (EBIT)	**7,039**	**7,976**	**7,783**	*7,267*	*5,337*	*6,812*
EBIT margin	25.0%	25.2%	23.9%	*22.0%*	*15.6%*	*19.2%*
Net financial items	-805	-1,050	-870	*-1,020*	*-800*	*-903*
Pre-tax Profit	**6,234**	**6,926**	**6,913**	*6,247*	*4,537*	*5,909*
Net Earnings	**4,740**	**5,227**	**5,242**	*4,929*	*3,517*	*4,580*
PER SHARE						
EPS	55.5	64.9	68.1	*64.1*	*45.7*	*59.5*
DPS	16	18	20	*18.9*	*13.5*	*17.6*
Payout ratio	28.8%	27.8%	29.4%	*28.7%*	*28.7%*	*28.7%*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — DKK MILLIONS

	2023 *A*	2024 *A*	2025 *A*	2026 *E*	2027 *E*	2028 *E*
ASSETS						
Tangible assets	6,525	8,472	9,152	*9,144*	*9,425*	*9,819*
Intangibles	2,886	3,106	3,343	*3,398*	*3,503*	*3,649*
Goodwill	4,914	5,126	5,020	*5,020*	*5,020*	*5,020*
Non-current assets	**14,540**	**17,002**	**17,811**	***17,858***	***18,243***	***18,784***
Inventories	4,166	4,426	4,883	*4,844*	*4,993*	*5,202*
Receivables	2,435	2,406	4,038	*4,012*	*4,083*	*4,182*
Cash & equivalents	1,397	2,394	1,305	*1,737*	*1,791*	*1,866*
Current assets	**7,998**	**9,226**	**10,226**	***10,593***	***10,866***	***11,250***
Total Assets	**23,798**	**27,758**	**29,603**	***30,017***	***30,676***	***31,600***
EQUITY & LIABILITIES						
Equity	5,355	5,508	5,282	*9,025*	*11,126*	*14,696*
Long-term debt	6,972	7,831	11,922	*4,969*	*4,042*	*2,502*
Short-term debt	313	397	1,627	*4,969*	*4,042*	*2,502*
Long-term liabilities	**6,344**	**7,098**	**6,939**	***-14***	***-941***	***-2,481***
Current liabilities	**8,053**	**9,877**	**11,252**	***14,449***	***13,660***	***12,313***
Total liabilities & equity	**23,798**	**27,758**	**29,603**	***30,017***	***30,676***	***31,600***
CAPITAL STRUCTURE & RATIOS						
Net debt	9,770	11,007	17,912	*14,296*	*12,663*	*9,749*
Capital invested	11,243	11,342	17,526	*17,225*	*17,419*	*17,834*
Equity ratio	22.5%	19.8%	17.8%	*30.1%*	*36.3%*	*46.5%*
Gearing	182.4%	199.8%	339.1%	*158.4%*	*113.8%*	*66.3%*
Net debt / EBITDA	1.2×	1.1×	1.7×	*1.3×*	*1.5×*	*1.0×*
Current ratio	1	0.9	0.9	*0.7*	*0.8*	*0.9*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — DKK MILLIONS	2023 A	2024 A	2025 A	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	6,735	9,089	5,883	*8,274*	*6,431*	*7,427*
Operating cash flow (Valuatum calculation)	7,406	9,549	6,867	*9,079*	*7,051*	*8,127*
Change in working capital	-403	-1,509	1,944	*80*	*82*	*115*
INVESTING & FREE CASH						
Gross capex	2,599	4,816	3,395	*3,472*	*3,382*	*3,503*
Capex (ex. M&A)	-2,599	-4,816	-3,395	*-3,472*	*-3,382*	*-3,503*
Cash after capex (CFO - gross capex)	**4,136**	**4,273**	**2,488**	***4,802***	***3,049***	***3,924***
Free operating cash flow (Valuatum def.)	**4,766**	**4,628**	**-778**	***5,607***	***3,669***	***4,624***
Free cash flow to firm	**4,766**	**4,628**	**-778**	***5,607***	***3,669***	***4,624***
FINANCING						
CF from financing	-3,014	-2,945	-3,902	*-4,370*	*-2,996*	*-3,849*
Dividends paid	-1,484	-1,367	-1,451	*-1,539*	*-1,416*	*-1,010*
Net change in cash	**1,122**	**1,328**	**-1,414**	***432***	***53***	***75***

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, DKK MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	6,834	6,771	6,103	11,973	7,347	7,075	6,269	11,858
EBITDA	2,068	1,917	1,572	4,772	2,265	1,910	1,523	4,670
EBITDA margin	30.3%	28.3%	25.8%	39.9%	30.8%	27.0%	24.3%	39.4%
Comparable EBIT	1,507	1,338	981	4,149	1,641	1,287	879	3,975
EBIT margin	22.1%	19.8%	16.1%	34.7%	22.3%	18.2%	14.0%	33.5%
Net Earnings	965	799	595	2,869	1,101	803	489	2,849
EPS	12	9.9	7.4	35.6	14.3	10.4	6.4	37

CURRENT YEAR — QUARTERLY, DKK MILLIONS

	Q1/26	Q2/26	Q3/26 *E*	Q4/26 *E*
Net Sales	7,109	7,219	*7,220*	*11,538*
EBITDA	2,146	2,154	*1,740*	*4,652*
EBITDA margin	30.2%	29.8%	*24.1%*	*40.3%*
Comparable EBIT	1,487	1,463	*896*	*3,421*
EBIT margin	20.9%	20.3%	*12.4%*	*29.7%*
Net Earnings	942	875	*659*	*2,453*
EPS	12.2	11.4	*8.6*	*31.9*

E = Valuatum estimate (not yet actualised)

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Research sources

Direct links for the evidence used in the report.

SOURCES REGISTER — 1 OF 10

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 4086, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, PNDORA.CO financialmodelingprep.com	MARKET DATA	Price chart & market facts
Pandora Annual Report 2025	attachment.news.eu.nasdaq.com/.../ae9488461bacf9232a79d853e46e9d5eb	OFFICIAL SOURCE	Reported segment table
Pandora completed its transition to using 100% recycled sil...	ml-eu.globenewswire.com/.../d7b08efa-b735-4711-98fd-7daa8a7aac1a	OFFICIAL SOURCE	Fuel with more deep dive
The 'Core' segment (Moments, Collabs, and Pandora ME) accou...	attachment.news.eu.nasdaq.com/.../ab27a3e8e20011a4154d3f83ca2e5ff3c	OFFICIAL SOURCE	Research evidence
Pandora reported an EBIT of DKK 7,783 million for the full...	view.news.eu.nasdaq.com/.../view	OFFICIAL SOURCE	Research evidence
The United...			

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Research sources (continued)

Direct links for the evidence used in the report.

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Chow Tai Fook Jewellery Group, the leading player in Greate...	www.morningstar.com	MARKET DATA	Fuel with more deep dive
Pandora A/S reported revenue of DKK 7,219 million in Q2 202...	www.pandoragroup.com/.../investor	MARKET DATA	Core deep dive
Pandora A/S sold 112 million pieces of jewelry in fiscal ye...	www.pandoragroup.com/.../about-us	MARKET DATA	Core deep dive
The new Vietnam facil-ity is expected to in-crease Pandora's...	uk.pandora.net/.../sustainability-1	MARKET DATA	Core deep dive
Signet Jewelers re-ported full-year fiscal 2026 sales of $6....	www.signetjewelers.com/.../default.aspx	MARKET DATA	Core deep dive
Signet Jewelers' aver-age unit retail (AUR) in-creased by 6%...	www.signetjewelers.com/.../default.aspx	MARKET DATA	Core deep dive
Pandora's effective tax rate in Thailand is ex-pected to ris...	ml-eu.globenewswire.com/.../b561273f-3118-4151-9639-82907fd2c42e	MARKET DATA	Core deep dive
Pandora sources 100% of its silver and gold from recycled s...	pandoragroup.com/.../recycled-metals	MARKET DATA	Research evidence
All new Pandora jewelry crafted since August 2024 is made w...	pandoragroup.com/.../annual-report-2024	MARKET DATA	Research evidence

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Research sources (continued)

Direct links for the evidence used in the report.

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	VALUE	CATEGORY	USED IN
As of Q1 2026, Pandora has hedged approximately 58% of expe...	pandoragroup.com/.../interim-report-q1-2026	MARKET DATA	Research evidence
Pandora plans to transition 80% of its silver-linked revenu...	pandoragroup.com/.../q2-2026-report	MARKET DATA	Research evidence
For the full year 2025, external headwinds from commodities...	pandoragroup.com/.../full-year-2025-report	MARKET DATA	Research evidence
Pandora's new crafting facility in Vietnam, set to open in...	pandoragroup.com	MARKET DATA	Research evidence
Pandora's Core segment, which includes Moments, ME, and Col...	krokerequity.com/.../pandora-analysis-2025	MARKET DATA	Core deep dive
Pandora estimated the total impact of U.S. tariffs on its i...	scandasia.com	MARKET DATA	Regulatory assessment
Pandora issued a EUR 500 million sustainability-linked seni...	pandoragroup.com	MARKET DATA	Research evidence
Pandora issued a second EUR 500 million sustainability-link...	pandoragroup.com	MARKET DATA	Research evidence
Pandora utilized a sustainability-linked revolving credit f...	pandoragroup.com	MARKET DATA	Research evidence
As of Q2 2026, Pandora's net interest-bearing debt (NIBD) r...	pandoragroup.com/.../interim-reports	MARKET DATA	Research evidence

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Research sources (continued)

Direct links for the evidence used in the report.

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Pandora's revolving credit facility (RCF) is not subject to...	pandoragroup.com/.../annual-reports	MARKET DATA	Research evidence
Pandora paid an ordinary dividend of DKK 22 per share in 20...	pandoragroup.com/.../dividend-policy	MARKET DATA	Research evidence
Pandora A/S reported organic revenue growth of 3% for the s...	www.pandoragroup.com/.../announcements-and-events	MARKET DATA	Catalysts and risks
Pandora upgraded its full-year 2026 organic growth guidance...	www.stockopedia.com	MARKET DATA	Catalysts and risks
Berta de Pablos-Barbier assumed the role of President and C...	simplywall.st/.../management	MARKET DATA	Catalysts and risks
Pandora expanded its lab-grown diamond collection to Italy...	rapaport.com	MARKET DATA	Catalysts and risks
Pandora completed a DKK 4.0 billion share buyback program o...	www.pandoragroup.com/.../27736	MARKET DATA	Catalysts and risks
A partial refund of a U.S. IEEPA tariff claim in Q2 2026 pr...	www.investing.com	MARKET DATA	Catalysts and risks
Pandora delivered full-year 2025 organic growth of 6%, miss...	via.ritzau.dk/.../pandora-as	MARKET DATA	Catalysts and risks

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Research sources (continued)

Direct links for the evidence used in the report.

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	VALUE	CATEGORY	USED IN
Pandora introduced carbon footprint disclosure labeling for...	www.esgdive.com/.../819736	MARKET DATA	Catalysts and risks
The 'Fuel with more' segment of Pandora A/S reported a 3% I...	www.gurufocus.com	MARKET DATA	Fuel with more deep dive
The global lab-grown diamond jewelry market, a central focu...	theicelane.com	MARKET DATA	Fuel with more deep dive
Pandora's gross margin in Q2 2026 reached 80.5%, which incl...	za.investing.com	MARKET DATA	Core deep dive
Pandora is building a new crafting facility in Binh Duong P...	solarquarter.com	MARKET DATA	Core deep dive
Chow Tai Fook Jewellery Group reported FY 2026 revenue of H...	www.investing.com	MARKET DATA	Core deep dive
The global fashion industry, which jewelry competes with fo...	www.dutchlabelshop.com/.../fashion-statistics-2026	MARKET DATA	Core deep dive
Pandora plans to transition at least half of its silver jew...	www.thestreet.com	MARKET DATA	Core deep dive
Pandora A/S reported an adjusted gross margin for its secon...	pandoragroup.com/.../27951	MARKET DATA	Fuel with more deep dive

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Research sources (continued)

Direct links for the evidence used in the report.

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	VALUE	CATEGORY	USED IN
Pandora A/S shifted its pricing strategy for Lab-Grown Diam...	www.idexonline.com/.../FullArticle	MARKET DATA	Fuel with more deep dive
Pandora's primary U.S. competitor, Signet Jewelers, reporte...	pestel-analysis.com/.../signetjewelers	MARKET DATA	Fuel with more deep dive
The group gross margin was reported at 79.5% for Q1 2026, a...	www.investing.com	MARKET DATA	Research evidence
The U.S. market represents approximately 36% of Pandora's t...	www.morningstar.dk/.../pandora-stock-analysis	MARKET DATA	Research evidence
Pandora reported like-for-like (LFL) growth in the Core seg...	pandoragroup.com/.../news-and-reports	MARKET DATA	Core deep dive
In Q2 2026, Pandora's LFL growth showed a sharp geographic...	www.jckonline.com/.../pandora-2026-outlook-growth	MARKET DATA	Core deep dive
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Pandora is re-energizing its Core segment in 2026 through t...	www.morningstar.com/.../pandora-q2-2026	MARKET DATA	Core deep dive
Lab-grown diamonds have reached 61% penetration of the U.S....	www.nationaljeweler.com	MARKET DATA	Fuel with more deep dive

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Research sources (continued)

Direct links for the evidence used in the report.

SOURCES REGISTER — 7 OF 10

	VALUE	CATEGORY	USED IN
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Pandora delivered 6% organic revenue growth in 2025, consis...	pandoragroup.com/.../company-announcements	MARKET DATA	Fuel with more deep dive
In 2025, Pandora's North America revenue growth slowed to 2...	www.diamonds.net/.../NewsItem.aspx	MARKET DATA	Fuel with more deep dive
Pandora plans to transition 80% of its silver revenue to pl...	www.investing.com	MARKET DATA	Fuel with more deep dive
Pandora's total revenue for the 2025 fiscal year reached DK...	ecdb.com/.../pandora	MARKET DATA	Regulatory assessment
As of July 24, 2026, the United States Trade Representative...	nationaljeweler.com	MARKET DATA	Regulatory assessment
As of August 2026, Thailand is aiming to conclude Free Trad...	today.line.me/.../BE6GmkN	MARKET DATA	Regulatory assessment
Thailand and the European Free Trade Association (EFTA) sig...	www.facebook.com/.../27380044418311700	MARKET DATA	Regulatory assessment
The EUR 500 million 4.500% sustainability-linked bond is sc...	www.boerse-frankfurt.de/.../xs2596599147-pandora-a-s-4-5-23-28	MARKET DATA	Research evidence

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Research sources (continued)

Direct links for the evidence used in the report.

SOURCES REGISTER — 8 OF 10

	VALUE	CATEGORY	USED IN
Pandora maintained a revolving credit facility (RCF) of EUR...	kromannreumert.com	MARKET DATA	Research evidence
Pandora's total current liabilities stood at DKK 9.58 billi...	tradingeconomics.com/.../current-liabilities	MARKET DATA	Research evidence
Pandora A/S holds a global market share of 4.5% in the 'acc...	icecartel.com/.../jewelry-market-size	MARKET DATA	Fuel with more deep dive
Signet Jewelers, a primary competitor in mass-market and fa...	www.fool.com/.../is-signet-jewelers-stock-a-buy-in-2026	MARKET DATA	Fuel with more deep dive
The global jewelry market was valued at approximately $448...	www.vyansaintelligence.com/.../jewellery-market-outlook	MARKET DATA	Fuel with more deep dive
The global jewelry market size is estimated to be USD 397.7...	www.grandviewresearch.com/.../jewelry-market	MARKET DATA	Core deep dive
Custom Market Insights estimates the global jewelry market...	www.custommarketinsights.com/.../jewelry-market	MARKET DATA	Core deep dive
Alternative market research projects a significantly lower...	www.fortunebusinessinsights.com/.../jewelry-market-102107	MARKET DATA	Fuel with more deep dive
The personal luxury goods market, representing the broader...	www.bain.com	MARKET DATA	Fuel with more deep dive

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Research sources (continued)

Direct links for the evidence used in the report.

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	VALUE	CATEGORY	USED IN
Fixed costs within Cost of Goods Sold (COGS), primarily dep...	krokerequityresearch.substack.com/.../75-pandora-as-part-ii	MARKET DATA	Research evidence
The United States is Pandora's largest sales market, repres...	e-commerce-database.com/.../pandora	MARKET DATA	Research evidence
The global jewelry market size is estimated to reach USD 44...	www.vyansa.com/.../jewellery-market-size	MARKET DATA	Core deep dive
The global gift retailing market, representing the total an...	www.fortunebusinessinsights.com/.../gift-retailing-market-102107	MARKET DATA	Core deep dive
Loyalty data indicates that 88% of consumers require three...	pandoraagency.com/.../strategies-customer-loyalty-2025	MARKET DATA	Core deep dive
The jewelry industry experienced a 'price up, units down' t...	www.edgeretailacademy.com/.../2025-jewelry-retail-analysis	MARKET DATA	Core deep dive
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The global demi-fine jewelry market, a primary growth area...	www.custommarketinsights.com/.../demi-fine-jewellery-market	MARKET DATA	Fuel with more deep dive
The global demi-fine jewelry market size was estimated at U...	www.grandviewresearch.com/.../demi-fine-jewelry-market-report	MARKET DATA	Fuel with more deep dive

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Sources, assumptions, and standard disclaimer

Direct research links, methodology assumptions, and the standard disclaimer.

SOURCES REGISTER — 10 OF 10

	VALUE	CATEGORY	USED IN
The global lab-grown diamond market, which Pandora uses to...	www.fortunebusinessinsights.com/.../laboratory-grown-diamonds-market-106596	MARKET DATA	Fuel with more deep dive
Necklaces are projected to reach a market value of USD 75.8...	icecartel.com	MARKET DATA	Fuel with more deep dive
A U.S. Supreme Court ruling in February 2026 invalidated th...	lexbangkok.com/.../thailand-rules-of-origin-compliance-2026	MARKET DATA	Regulatory assessment
Under the US HTS 2026, silver jewelry (7113.11) is subject...	www.freightamigo.com/.../jewelry-hs-code	MARKET DATA	Regulatory assessment
Pandora expects free operating cash flow (FOCF) after lease...	www.spglobal.com/.../intro-to-ratings	MARKET DATA	Research evidence

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